



MicroStar Logistics – Konvoy

MN-30003

This document contains a summary of the ACCC's reasons for its determination of 7 August 2026. This document does not constitute the statement of the ACCC's reasons for making the determination pursuant to sections 51ABZE(4)(b) and 51ABZZI(1)(b) of the *Competition and Consumer Act 2010* (Cth). The statement of the ACCC's reasons will be published separately following a review for confidential information.

Summary of Reasons

1. On 17 June 2025, Kegstar Pty Limited (**Kegstar**), sought informal clearance from the Australian Competition and Consumer Commission (**ACCC**) to acquire certain Australian assets of Konvoy Holdings Pty Limited (Receivers and Managers Appointed) (Subject to Deed of Company Arrangement) (**Konvoy**) (together, the **Parties**). On 23 October 2025, the ACCC announced that it opposed the acquisition.
2. Following the ACCC's opposition, the Parties elected to seek clearance for the acquisition under Australia's new merger regime. On 6 February 2026, Kegstar lodged a notification with the ACCC in respect of Kegstar's proposed acquisition of certain Australian assets of Konvoy (the **Acquisition**). The effective notification date was 20 February 2026.¹
3. On 1 April 2026, the ACCC decided the Acquisition would be subject to a Phase 2 review and subsequently issued a Notice of Competition Concerns to Kegstar on 13 May 2026.² The ACCC published a summary of the Notice of Competition Concerns on the Acquisitions Register on 14 May 2026.³
4. The ACCC has determined that the Acquisition must not be put into effect. A summary of the ACCC's reasons for its determination is set out below.

¹ [Redacted - confidential].

² ACCC, *Phase 2 Decision*, 1 April 2026, 72969.001.016.0500; ACCC, *Notice of Competition Concerns*, 13 May 2026, 72969.001.075.0001.

³ ACCC, *Notice of Competition Concerns – Summary*, 13 May 2026, 72969.001.037.0269.

Keg pooling in Australia

5. Brewers use keg pooling services to facilitate distribution of keged alcoholic beverages to licensed venues without needing to own, maintain or recover their own keg fleet. In Australia, brewers acquire keg pooling services from one of two providers – Kegstar or Konvoy. In summary:
- Kegstar introduced keg pooling services into Australia in 2012, when it commenced its keg pooling business.
 - Konvoy entered the market in 2019 and rapidly emerged as a direct competitor to Kegstar, with competition between the Parties manifesting through active rivalry for customers and improved pricing, service offerings and commercial terms.
 - Following a period of successful operation, Konvoy sought to expand into the United Kingdom and made investments in the development of a keg tracking technology platform. It then started experiencing increasing financial difficulties from 2024.
 - Konvoy unsuccessfully sought additional capital and its secured lender declined to provide further funding in 2025. In March 2025, Konvoy entered administration and the secured lender appointed Messrs Crawford and Smith of McGrathNicol as Receivers.
 - The Receivers conducted a sale process across March and April 2025 in which **[Redacted - confidential]**.⁴
 - The Parties entered into an Asset Sale Agreement on 20 June 2025,⁵ which, if completed, would result in Kegstar becoming the sole provider of keg pooling services in Australia.

The ACCC's statutory task

6. The ACCC recognises that participants in a receivers' sale process may pursue different objectives. Receivers are required to maximise returns for creditors (and the company), and the purchase price is clearly a key factor in maximising those returns. However, execution risk is also a relevant consideration. Where a sale process results in a firm seeking to acquire its closest competitor – which can carry with it the highest purchase price – significant competition concerns are likely to arise.
7. The ACCC's role is not to determine the most efficient ownership structure for an industry, nor is it to assist receivers in obtaining the highest return for creditors. Rather, as an administrative decision-maker under Part IVA of the *Competition and Consumer Act 2010* (Cth) (**the Act**), the ACCC's task is to assess the likely competitive effects of an acquisition in accordance with the statutory test. Under this regime, if the ACCC is satisfied that an acquisition, if put into effect, would, in all the circumstances, have the effect, or be likely to have the effect of substantially lessening competition in any market, it may determine that the acquisition must not be put into effect. The ACCC's assessment in this matter is directed to that statutory question.

⁴ **[Redacted - confidential]**.

⁵ **[Redacted - confidential]**.

Competitive effects of the Acquisition

8. The ACCC has assessed the likely competitive effects of the Acquisition in the market for the supply of keg pooling services in Australia. While brewers have alternative methods of distributing beverages to licensed venues, including cans, bottles and self-supplied kegs, the ACCC considers that keg pooling services constitute a distinct and valued service offering, and therefore a relevant 'market'. For many brewers, particularly small and medium-sized brewers seeking to distribute products beyond their local area, keg pooling avoids the capital investment, logistical and administrative costs, and risks associated with self-supply of kegs.
9. The ACCC has assessed the Acquisition and has made the following findings based on the evidence before it:
 - Kegstar and Konvoy are each other's closest competitor. The evidence before the ACCC indicates that Konvoy's entry led to vigorous head-to-head competition between the Parties, which is still continuing, including substantial price reductions, improved commercial terms and active rivalry for customers.
 - If the Acquisition proceeds, Konvoy would cease to operate as an independent competitive constraint and Kegstar would become the sole provider of keg pooling services in Australia. The Acquisition would remove the only significant source of direct rivalry in the market. The ACCC considers that the loss of this head-to-head competition would be likely to reduce competitive pressure on Kegstar in relation to price, service quality, and commercial offerings to brewers.
 - Absent the Acquisition, there is a real prospect that either an alternative purchaser would acquire Konvoy's business as a going concern through a rapid and targeted sale process, or that a substantial proportion of Konvoy's assets would otherwise be realised and deployed in competing keg pooling operations.
 - Self-supply (following the Acquisition) would be unlikely to be sufficient to replace the competitive constraint currently imposed by Konvoy. While some larger brewers self-supply kegs and others may have the ability to do so for limited volumes or local distribution, the ACCC considers that a substantial portion of customers would be unlikely to switch to self-supply due to the significant capital investment, operational capability and ongoing logistical management required.
 - Timely and sufficient new entry is unlikely. Although kegs and other key inputs are generally available, a new entrant would need to establish the operational capability, reputation and customer base sufficient to compete effectively. Konvoy's management possessed a strong reputation and operational capability when it entered in 2019. However in the ACCC's view, the current limited availability of contestable customer contracts, likely customer consolidation following the Acquisition, and the challenges of achieving scale make timely and effective new entry unlikely.
10. Having regard to the matters outlined above, the ACCC considers that competition in the future with the Acquisition would likely be substantially less than in the future without the Acquisition.
11. The ACCC does not consider that the Proposed Undertaking offered by Kegstar addresses the extent of the competitive harm arising from the Acquisition. That harm is substantial and arises from a significant structural change in the market to a monopoly provider of keg pooling services in Australia. The ACCC considers that a behavioural and

time-limited remedy would not sufficiently replicate the structural competitive constraint provided by an independent competitor.

12. For these reasons, the ACCC is satisfied that the Acquisition, if put into effect, would, in all the circumstances, be likely to have the effect of substantially lessening competition in the Australian keg pooling services market and has determined that the Acquisition must not be put into effect.